

Measuring Collection Performance with KPIs

It's not enough to simply follow up with customers—organizations must also measure how effective their collection strategies are. Key Performance Indicators (KPIs) provide measurable insights into the timeliness of collections, agent productivity, and overall receivables health.

Different Types of KPIs

1

Days Sales Outstanding (DSO)

- Shows average number of days it takes to collect payment after a sale.
- Lower DSO = faster collections and stronger cash flow

2

Collection Effectiveness Index (CEI)

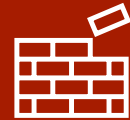
- Measures how successful the collections team is in recovering receivables within a given period.
- Higher CEI = better alignment to expected collections

Cost Groups

Cost categories define costs at the operation level, enabling granular tracking of resource consumption such as machine hours or labor time. They ensure that production routes accurately reflect operational costs.

Material Cost Groups

Track raw material costs used in production.



Labor Cost Groups

Capture direct and indirect labor expenses.



Overhead Cost Groups

Include indirect costs like utilities and equipment depreciation.



Subcontractor Cost Groups

Account for outsourced operations or services.



Measuring Collection Performance with KPIs

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Different Types of KPIs

3

Delinquency Ratio

- Shows percentage of receivables overdue compared to total receivables.
- High ratio = systemic issues or high-risk customer groups

4

Agent Productivity Metrics

- Measures number of follow-ups completed, cases closed versus open, and average resolution time.
- Helps track efficiency of individual agents and teams.

D365 Procurement 201: D365 for Leadership

is about the power of collaboration and the transformative potential that can be unleashed when people work together towards a shared vision.



Duration: 45 Minutes



Duration: 45 Minutes

D365 Procurement 201: D365 for Leadership



Meet Your Trainer

To be populated
by the trainer.



NAME

ABOUT

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Ground Rules



Mute your microphone



Turn on your camera



Use headphones to hear better



Turn on live captions



Participate actively



Share knowledge from previous trainings



Use the "raise hand" function to speak



Be always on time



Turn off your phone



Focus on attention



Participate actively



Course Overview

This course provides procurement and supply chain leaders with an overview of the procurement and sourcing module within Microsoft Dynamics 365 Supply Chain Management. It covers the key procurement processes in D365 and highlights the planning and forecasting functionalities that enhance procurement efficiency. Leaders will gain the knowledge needed to oversee and coach their teams on effective D365 usage, interpret system data, and troubleshoot high-level issues across the procure-to-pay lifecycle.

Pre-requisites:

Before taking this course, it is recommended that you complete the **D365 Procurement 101: Introduction to D365** course.



Course Objectives

After completing this course, you will be able to:



Outline key procurement processes and workflows in D365.



Distinguish between manual and planned purchasing workflows.



Identify configurations affecting purchasing accuracy, lead times, and supplier visibility.



Review and troubleshoot purchase order posting outcomes.



Leverage planning and forecasting tools to improve procurement efficiency.



Provide oversight and coaching to procurement team members on D365 usage.



Key Terms

Some of the key terms that you will come across in this course are defined below.

To be updated
further towards
the end of the
build.

Term	Definition
Dynamics 365 (D365)	An abbreviation for Microsoft Dynamics 365, which has been selected as our ERP solution.

Agenda

This course includes the following modules:

- | | | |
|----|---|------------|
| 01 | Procurement Processes and Workflows in D365 | 20 minutes |
| 02 | Driving Procurement Excellence in D365 | 20 minutes |
| 03 | Course Summary | 05 minutes |



Procurement Processes and Workflows in D365



Module Objectives

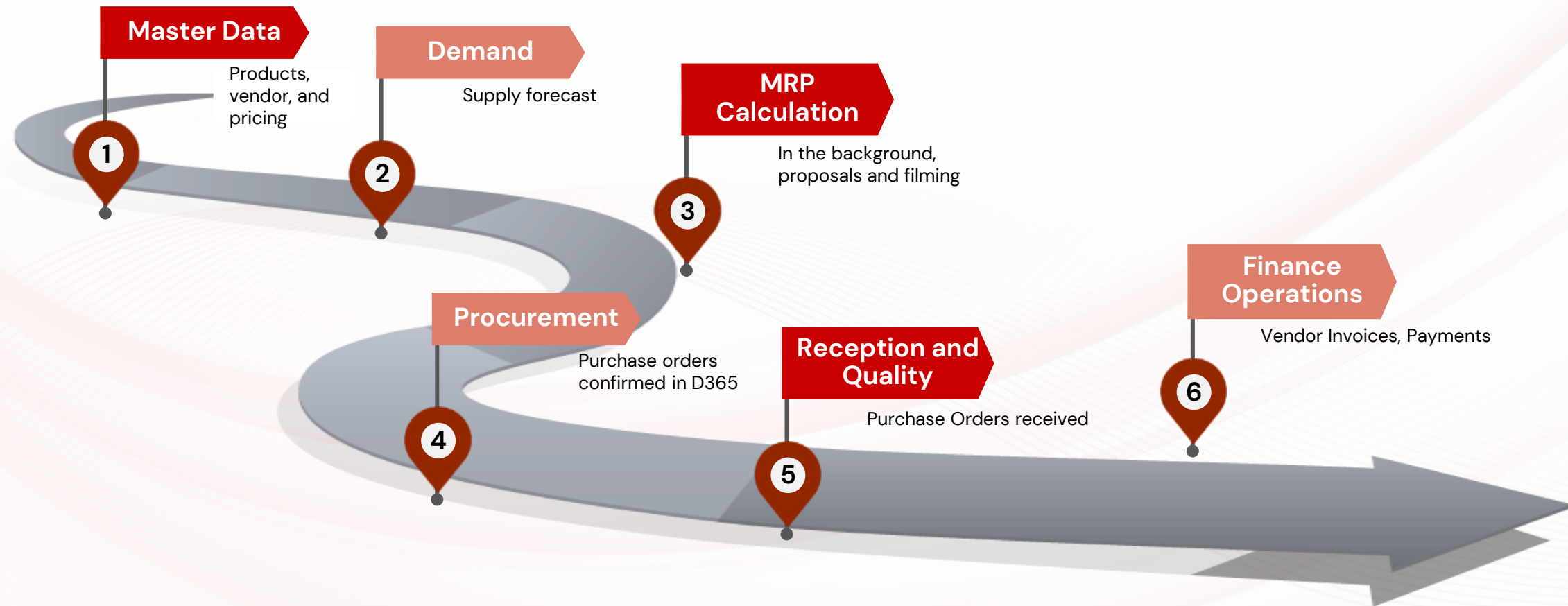
By the end of this module, you will be able to:

- ✓ Outline the key procurement processes in D365 Supply Chain Management.
- ✓ Differentiate between manual and planned purchasing workflows.
- ✓ Apply leadership strategies to help teams understand and adopt procurement processes effectively.



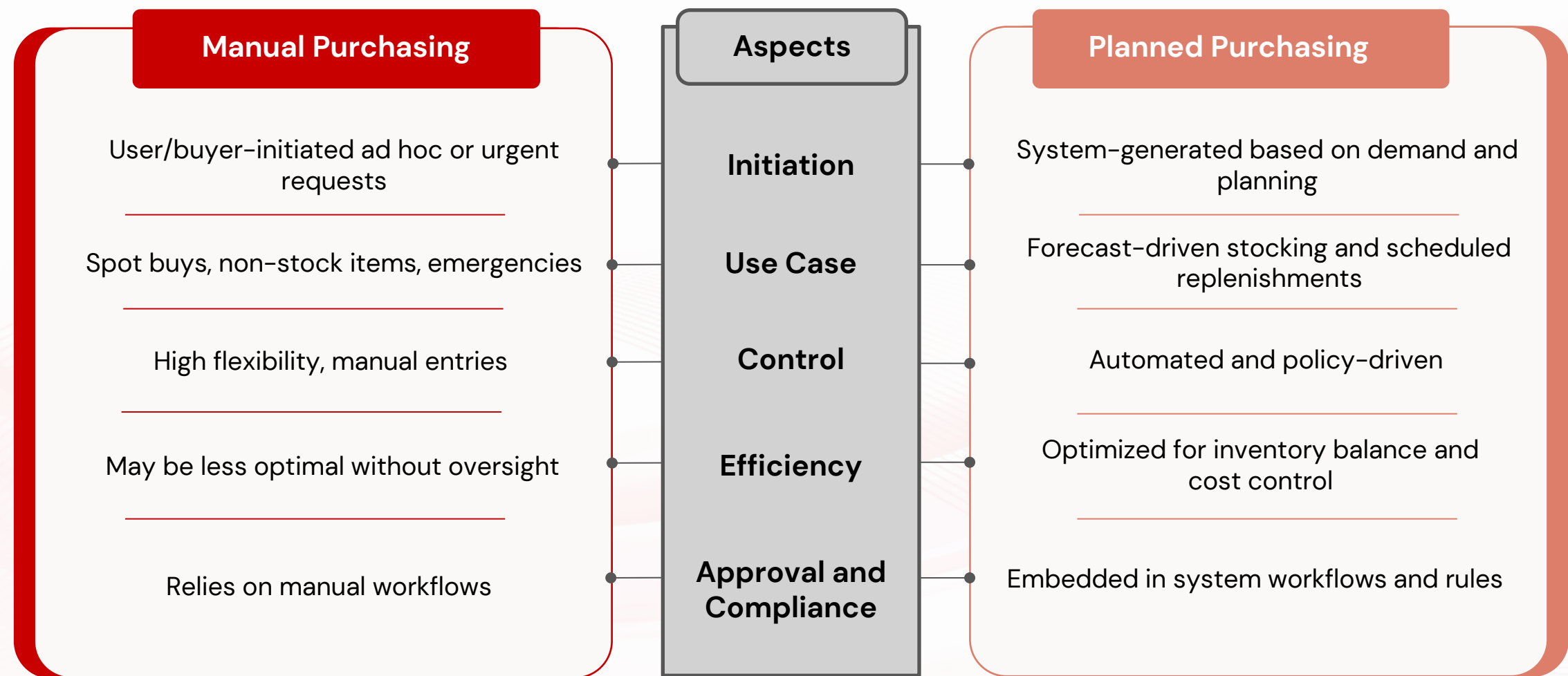
From Procurement to Pay: The Strategic View in D365

In D365 Supply Chain Management, the Procurement and Sourcing module is a central hub that streamlines the procure-to-pay process, manages vendor relationships, and ensures purchasing compliance. Its integration with inventory, finance, and production drives efficiency, financial accuracy, and strategic visibility, making it essential for leaders to understand and leverage for supply chain advantage.



Manual vs. Planned Purchasing Workflows in D365

In D365, purchasing workflows can be initiated manually or generated through planning processes. Understanding the distinction between these two approaches is essential for managing procurement effectively. Manual and planned workflows serve different operational needs but work together to provide flexibility, control, and alignment with organizational goals.



Core Procurement Processes in Dynamics 365

The core procurement process in Dynamics 365 Supply Chain Management defines a structured pathway from identifying internal needs through payment completion. This systematic workflow ensures that organizations can source, purchase, receive, and pay for goods and services efficiently while maintaining control and compliance at every stage.



As a leader, you play a crucial role in monitoring key checkpoints throughout this cycle to ensure smooth operations, mitigate risks, and drive continuous improvement.

Core Procurement Processes in Dynamics 365 (Cont'd)

The core procurement process in Dynamics 365 Supply Chain Management defines a structured pathway from identifying internal needs through payment completion. This systematic workflow ensures that organizations can source, purchase, receive, and pay for goods and services efficiently while maintaining control and compliance at every stage.



Purchase requisitions are internal documents used to request items or services, often by users who do not have direct purchasing authority.

- The procurement process begins with identifying a need and creating a purchase requisition in D365.
- Requisitions specify item details, quantities, expected delivery dates, and relevant specifications.
- Approval workflows validate requests against budgets and organizational policies.

Note: Requisitions can be created for both indirect items (not requiring master planning) and direct materials.

Core Procurement Processes in Dynamics 365 (Cont'd)

The core procurement process in Dynamics 365 Supply Chain Management defines a structured pathway from identifying internal needs through payment completion. This systematic workflow ensures that organizations can source, purchase, receive, and pay for goods and services efficiently while maintaining control and compliance at every stage.



The RFQ process is used when an organization wants to purchase products that can be supplied by multiple vendors, inviting competitive bids.

- After requisition approval, RFQs are sent to multiple vendors to solicit bids.
- Vendors submit quotations that are recorded and compared in the system.
- The RFQ process supports competitive sourcing and transparent vendor selection.

Note: You can create an RFQ case from planned orders, from a purchase requisition, or by manual entry. The RFQ case is the base document that you use to issue an RFQ to each vendor.

Core Procurement Processes in Dynamics 365 (Cont'd)

The core procurement process in Dynamics 365 Supply Chain Management defines a structured pathway from identifying internal needs through payment completion. This systematic workflow ensures that organizations can source, purchase, receive, and pay for goods and services efficiently while maintaining control and compliance at every stage.



Vendor selection helps to systematically identify and choose the most suitable suppliers from a list of qualified candidates to fulfill organizational procurement needs.

- Based on RFQ results or procurement policies, an appropriate vendor is selected.
- Selection criteria may include price, delivery terms, and quality metrics.

Core Procurement Processes in Dynamics 365 (Cont'd)

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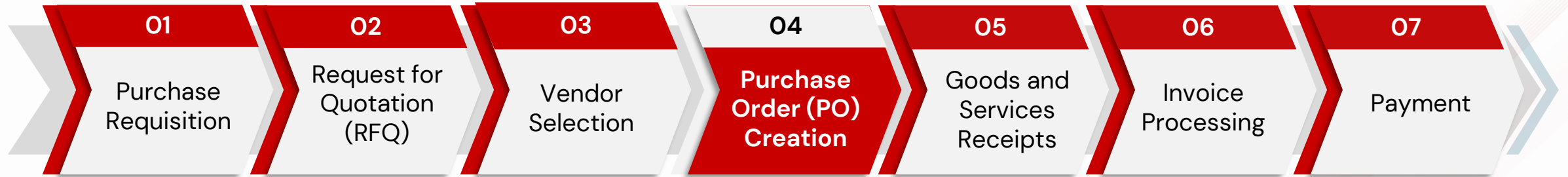
A system might already have a list of approved and preferred vendors especially when a requisition request arises from a specific product category.

- **Approved Vendors:** Comprises of the suppliers who have been vetted and authorized to provide goods or services for certain procurement categories.
- **Preferred Vendors:** Is a subset of approved vendors who are recommended for procurement based on factors like superior service, better pricing, reliability, or strategic partnerships.

Note: RFQs can also be released to vendors outside these lists when broader competition or special circumstances require it.

Core Procurement Processes in Dynamics 365 (Cont'd)

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A Purchase Order is a formal document representing a commitment to purchase goods or services from a vendor, based on agreed terms such as price, quantity, delivery, and payment conditions. It includes details such as vendor info, delivery address, payment terms, and item specifics.

A PO can be created by either methods mentioned below:

- **Manual Creation:** Buyers create POs directly for immediate or special purchases.
- **Automatic Creation:** Buyers generate POs from approved purchase requisitions, planned purchase orders, or RFQ vendor selections.

Core Procurement Processes in Dynamics 365 (Cont'd)

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Receipt of goods and services officially records the arrival and acceptance of ordered products or services.

- Goods or services are received, inspected, and confirmed against the PO.
- Receipts are recorded in inventory and trigger financial ledger postings.
- Discrepancies between order and receipt are identified and resolved.

Core Procurement Processes in Dynamics 365 (Cont'd)

The core procurement process in Dynamics 365 Supply Chain Management defines a structured pathway from identifying internal needs through payment completion. This systematic workflow ensures that organizations can source, purchase, receive, and pay for goods and services efficiently while maintaining control and compliance at every stage.



Invoice processing involves capturing, matching, approving, and posting vendor invoices to ensure payments are made accurately and timely for goods and services received.

- Match vendor invoices against POs and goods receipts using three-way matching.
- Capture invoices automatically and route them through approval workflows to accelerate processing.
- Verify payment amounts and prevent fraud through accurate invoice matching.

Core Procurement Processes in Dynamics 365 (Cont'd)

The core procurement process in Dynamics 365 Supply Chain Management defines a structured pathway from identifying internal needs through payment completion. This systematic workflow ensures that organizations can source, purchase, receive, and pay for goods and services efficiently while maintaining control and compliance at every stage.



Payment process in D365 links vendor invoices with financial accounting and cash management functions, providing controls that ensure compliance with payment terms

- Execute payments for approved and posted invoices in line with organizational terms.
- Ensure accuracy and compliance in all payment transactions to maintain financial integrity.
- Support cash flow management and optimize supplier relationships.
- Update accounts payable and cash flow through financial postings.

Driving Procurement Excellence in D365



Module Objectives

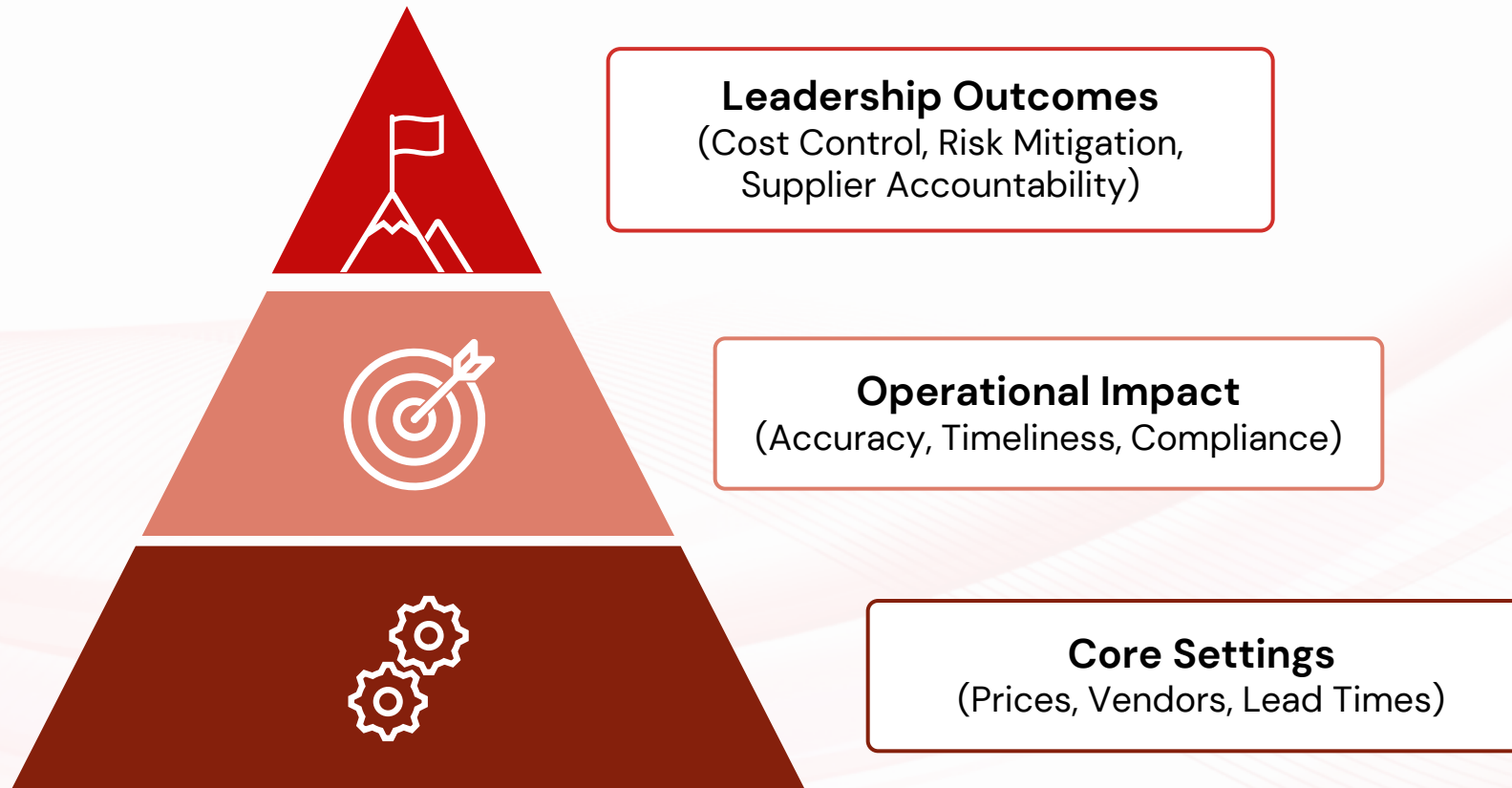
By the end of this module, you will be able to:

- ✓ Identify configurations in D365 that influence purchasing accuracy, optimize lead times, and enhance supplier visibility.
- ✓ Describe how forecasting and planning tools in D365 support timely and efficient procurement.
- ✓ Review purchase order posting results and address issues that affect financial accuracy.



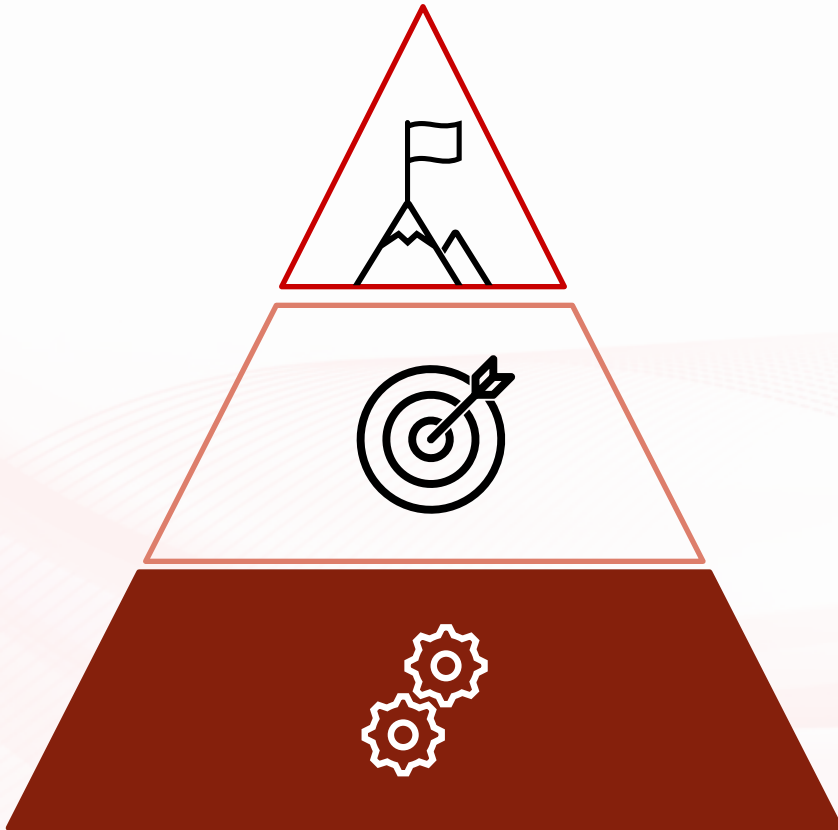
Key Configurations Driving Procurement Success

Effective procurement relies on well-configured system settings that directly influence the accuracy of purchasing, the reliability of delivery timelines, and the visibility of supplier performance. These configurations shape the quality and timeliness of your supply chain. Leaders who stay on top of these settings can keep purchasing in line with business goals, make supplier performance easy to track, and reduce operational risks.



Key Configurations Driving Procurement Success: Core Settings

Core system settings form the essential foundation that directly affects procurement accuracy, efficiency, and supplier management. Proper configuration and maintenance of these settings, specifically purchase prices, vendor records, and lead times, are critical to ensure smooth, compliant operations that support overall procurement excellence.



Purchase Prices

Maintain accurate purchase prices in Dynamics 365, with automatic updates from recent orders to ensure consistent pricing and support budgeting, invoice matching, and cost control.

Vendor Configuration

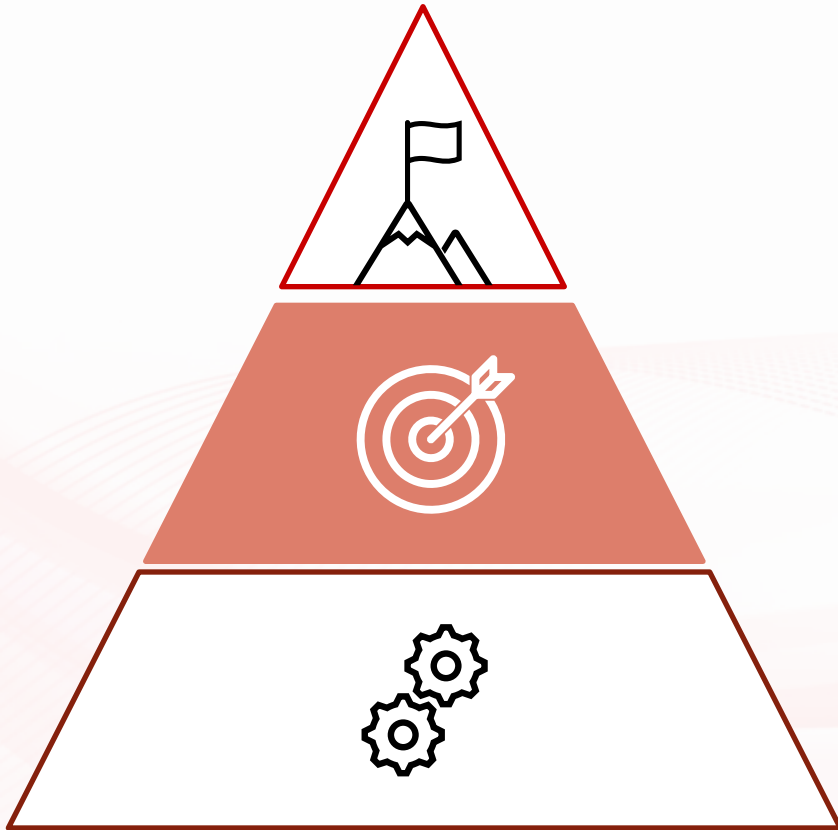
Manage detailed vendor data and approved lists to ensure compliant sourcing, reliable collaboration, accurate RFQs, and smooth purchase order processing.

Lead Times

Define item and vendor lead times in Dynamics 365 to ensure accurate scheduling, improve master planning, and set realistic purchase order delivery dates. Accurate lead times help prevent stockouts, reduce rush orders, and optimize inventory management.

Key Configurations Driving Procurement Success: Operational Impact

The operational impact layer represents the practical outcomes that directly affect procurement performance. Purchasing accuracy, timeliness of order fulfillment, and compliance with policies depend on how well core system configurations are managed. These operational factors are essential for maintaining efficient procurement processes, reducing risks, and delivering measurable business value.



Accuracy in Procurement Transactions

Proper configurations and controls ensure purchase orders, receipts, and invoices align correctly, minimizing errors and preventing costly discrepancies.

Timely Delivery and Order Fulfillment

Lead time settings and delivery date controls help schedule purchases to meet operational needs, reducing delays, stockouts, and production interruptions.

Compliance with Policies and Regulations

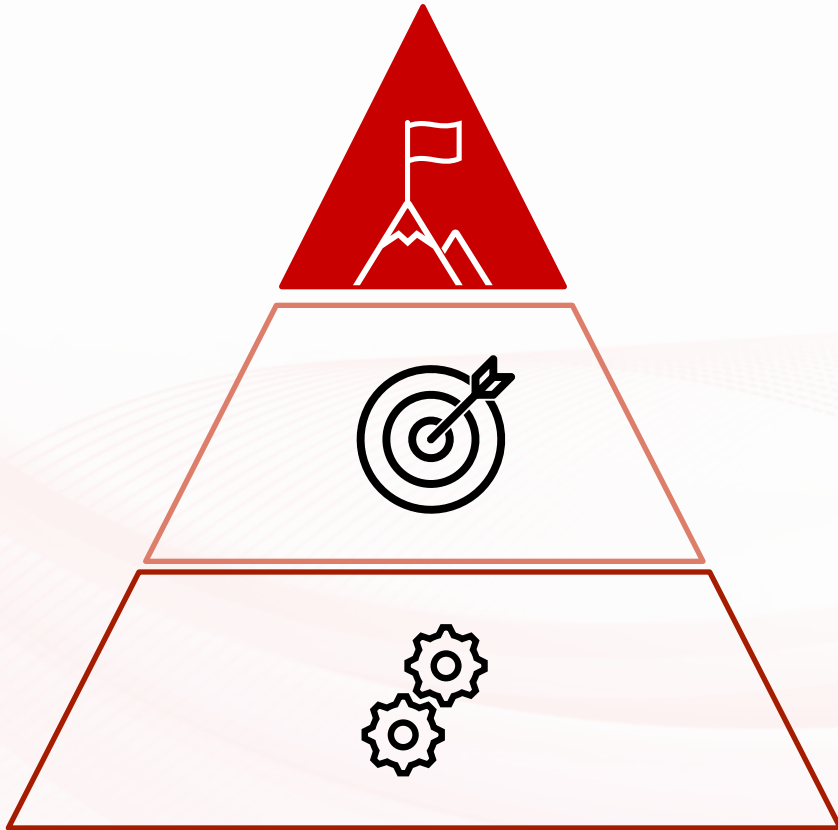
Invoice matching, approved vendor lists, and system validations enforce adherence to organizational policies and legal requirements, reducing audit risks.

Real-time Monitoring and Exception Management

System alerts and workflow controls flag mismatches or delays, enabling proactive issue resolution and maintaining smooth procure-to-pay cycles.

Key Configurations Driving Procurement Success: Leadership Outcomes

At the leadership level, the outcomes of procurement configurations and operations translate into tangible business benefits. Cost control, risk reduction, and supplier accountability are key areas where leaders make an impact, ensuring that procurement not only supports day-to-day operations but also drives strategic value for the organization.



Cost Control through Informed Decision-Making

Leaders leverage accurate procurement data and system configurations to manage budgets, avoid overspending, and optimize purchasing costs.

Risk Mitigation via Compliance and Monitoring

Effective oversight of procurement processes reduces operational and financial risks by ensuring adherence to policies, legal requirements, and audit standards.

Supplier Accountability and Performance Management

Leadership enforces sourcing from approved vendors, monitors supplier KPIs, and fosters strong vendor relationships to maintain quality and reliability.

Strategic Alignment with Business Objectives

By connecting procurement activities with organizational goals, leaders ensure procurement contributes to overall business performance and competitive advantage.

**Which risk do you think
costs us more—
Overstocking
or Stockouts?**



Forecast-Driven Procurement in Dynamics 365

Effective procurement relies on accurate forecasting to prevent stockouts that disrupt operations and excess inventory that strains cash flow. Balancing these risks is vital for operational stability and financial health. D365 uses sales projections, historical demand trends, and supplier lead times to create data-driven plans that ensure the right materials are procured in the right quantities at the right time.



**Planning
and
Forecasting**

Forecast-Driven Procurement in Dynamics 365

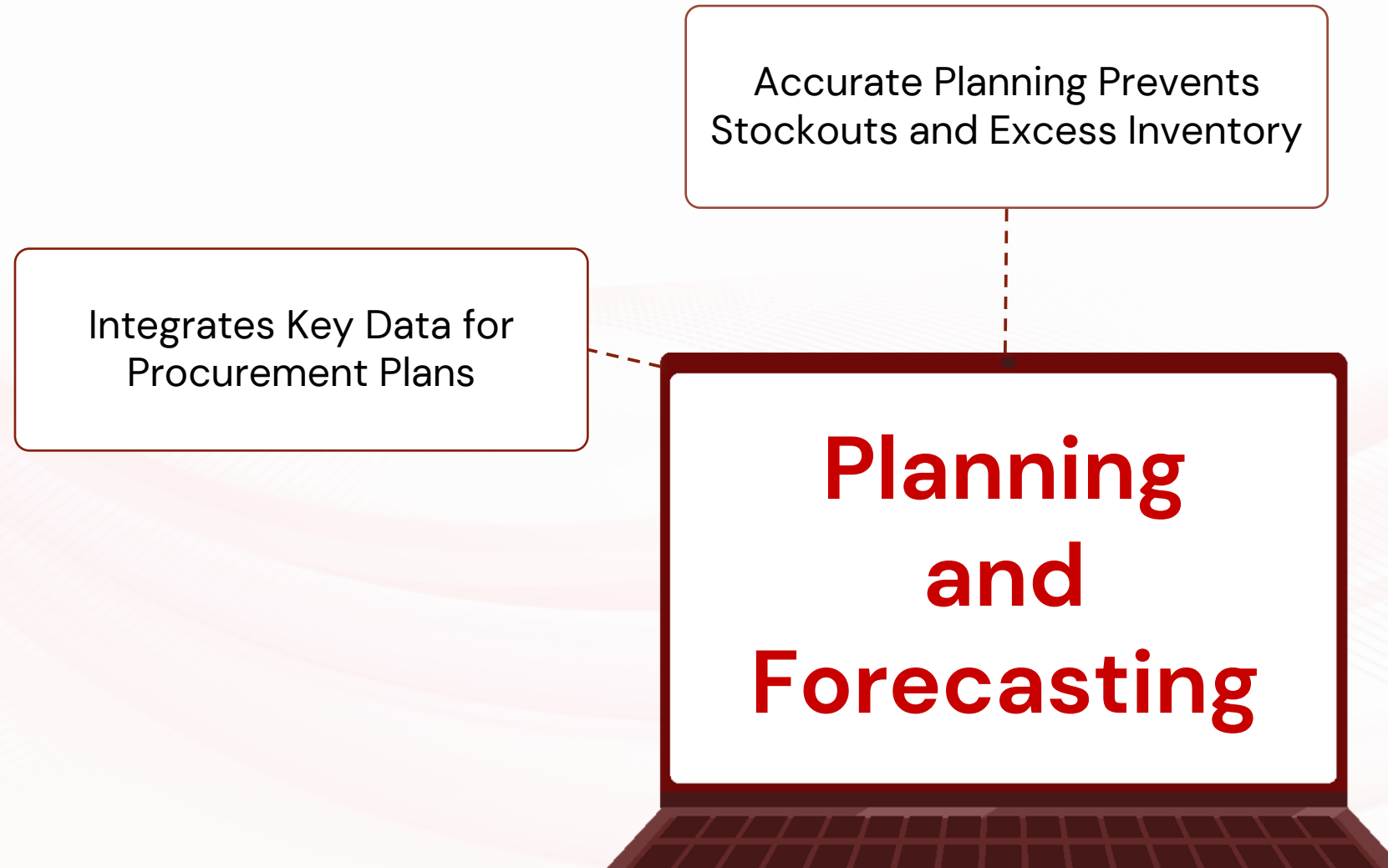
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Accurate Planning Prevents
Stockouts and Excess Inventory

**Planning
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Forecasting**

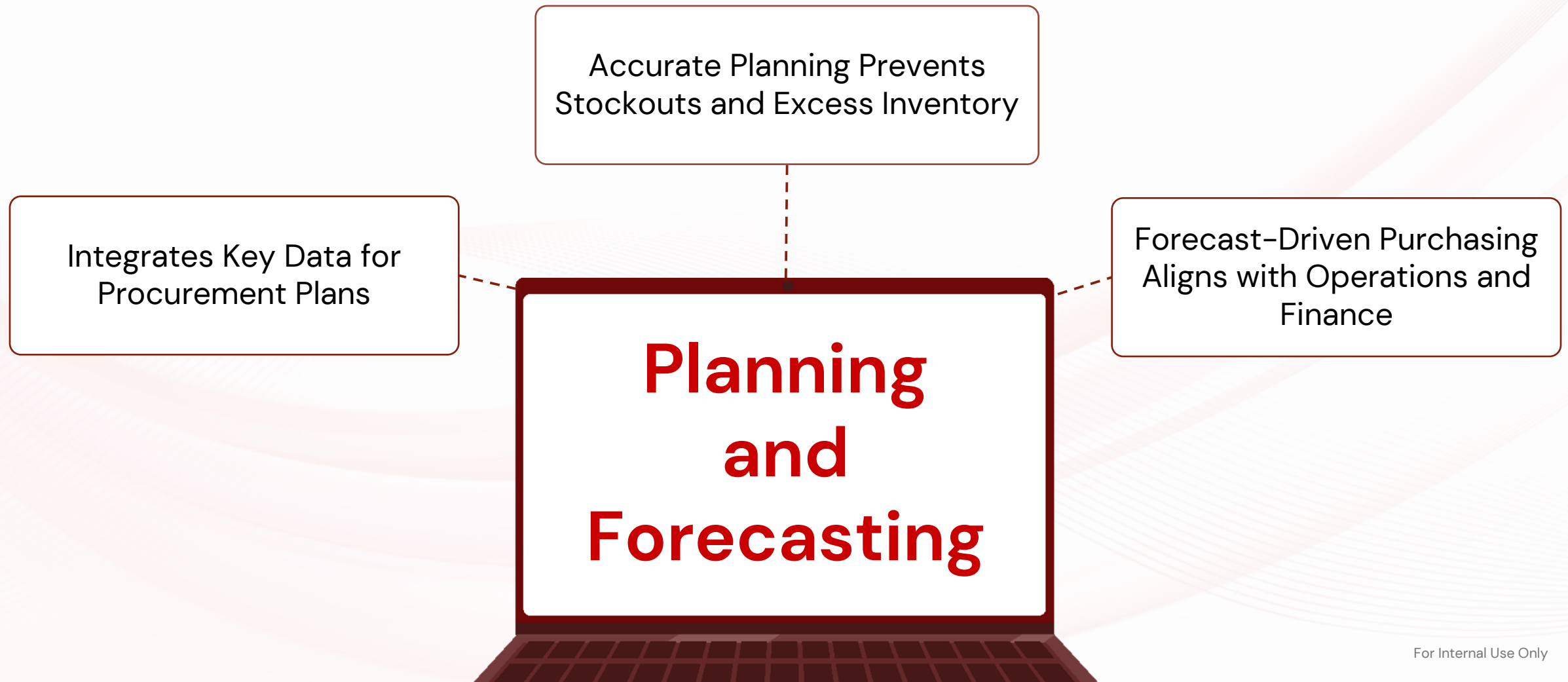
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Key aspects of D365 Planning and Forecasting

Planning and forecasting functionality in D365 Supply Chain Management is designed to enable accurate demand prediction and align procurement activities with operational needs, improving procurement efficiency and inventory management.



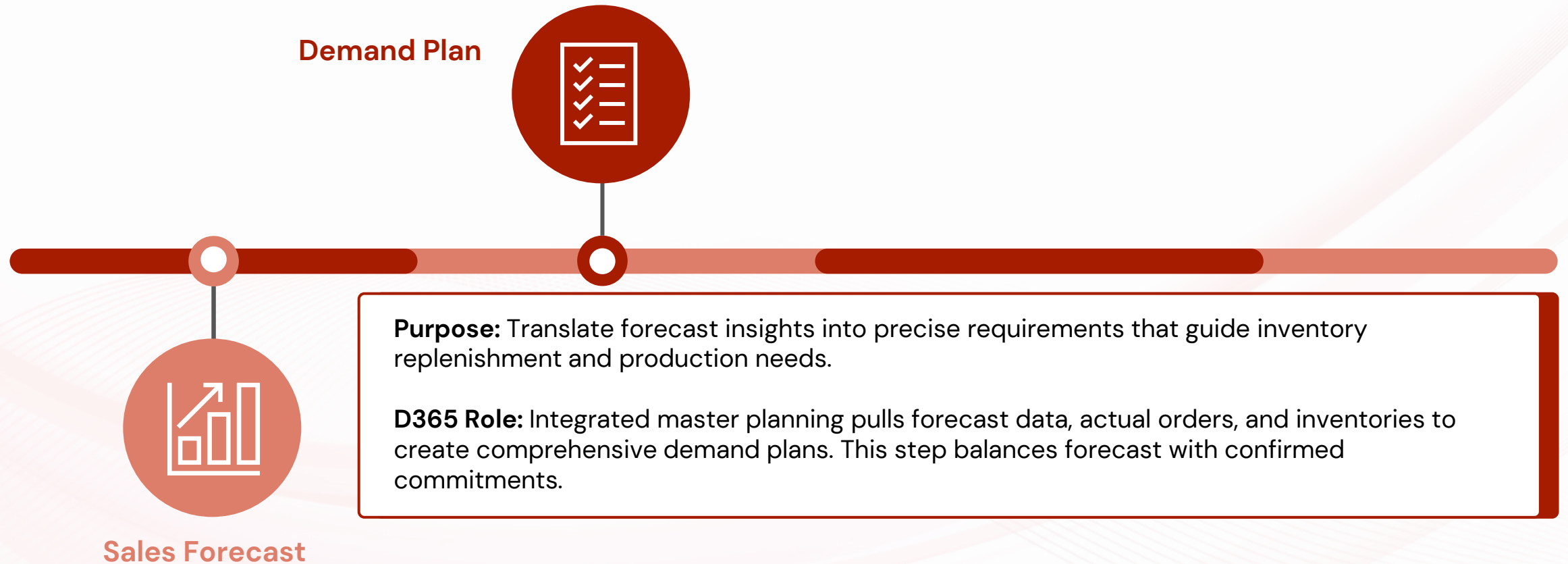
Sales Forecast

Purpose: Anticipate how much and when customers will require products, providing a foundation for planning inventory and procurement.

D365 Role: D365 supports manual or automated forecasting, including AI-powered models, to improve accuracy and reflect real market dynamics.

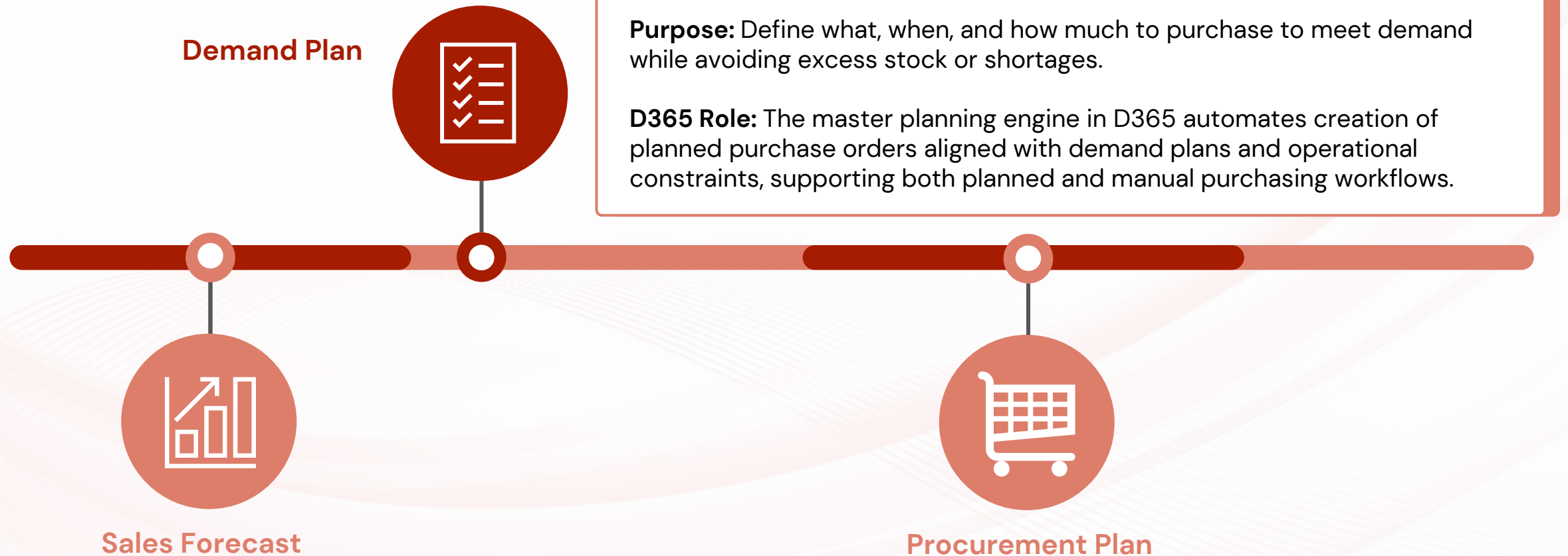
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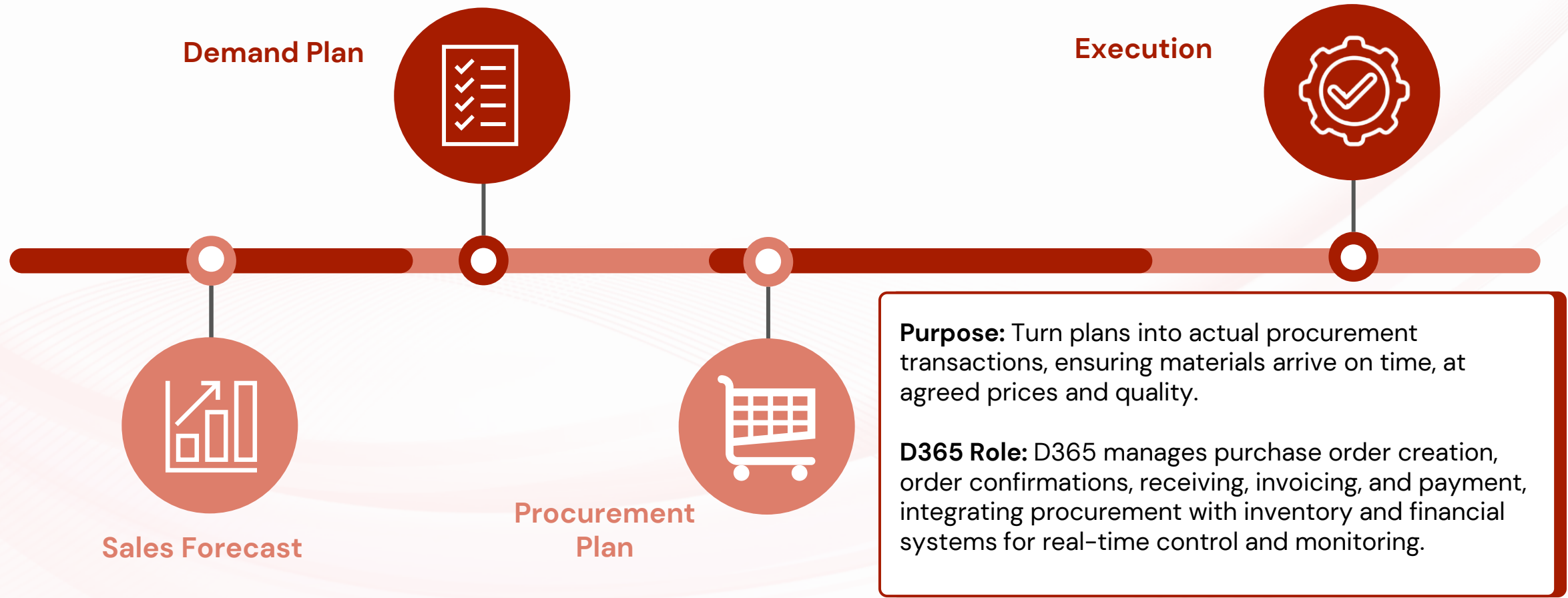
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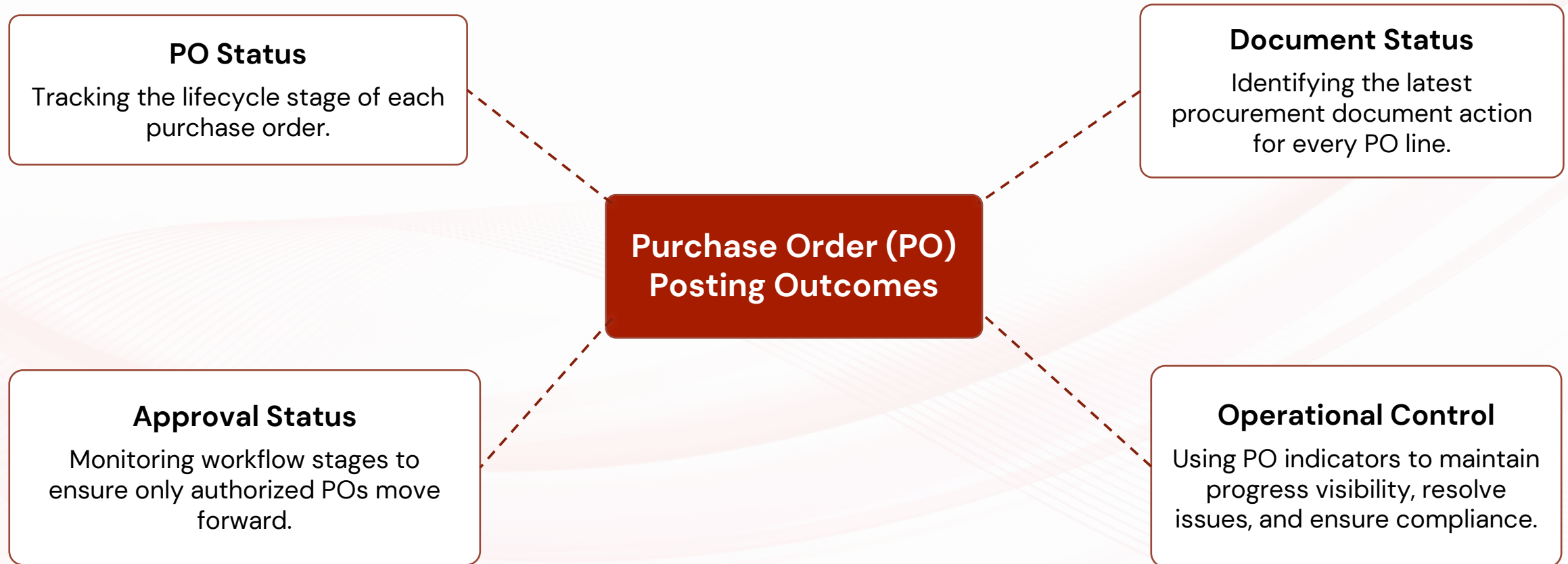
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Purchase Order (PO) Posting Outcomes Overview

Purchase orders (POs) in Dynamics 365 go through various posting stages that reflect their progress in the procurement cycle. This is where the procurement plans, we develop during the planning and forecasting phase come to life as actual transactions. Understanding these statuses and document/approval state changes is critical for operational control, enabling teams to track orders effectively and spot potential issues early.



Financial Posting Process Related to POs

The financial posting process in D365 is a critical phase where POs move from operational documents to official financial transactions in the general ledger. When goods are received or vendor invoices are posted, D365 triggers accounting entries that update inventory valuation, liabilities, and expenses.

Goods Receipt Posting

- Updates inventory physically and financially.
- Increases Inventory accounts and records accrued liabilities (Accounts Payable accrual).
- Prepares data for three-way matching.

Invoice Posting

- Matches invoice to PO and product receipt.
- Posts final liability to Accounts Payable.
- Changes PO status to Invoiced.

Commitment Tracking

- Tracks budget reservations initiated by POs.
- Reduces open commitments as receipts/invoices are posted.

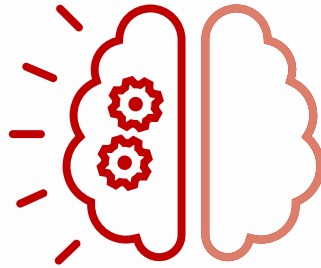
Impact on Financial Statements

- Inventory valuation updated at receipt.
- Accounts Payable liability updated at invoice.
- Supports accurate cash flow forecasting.

Common PO Posting Issues & Troubleshooting Techniques

Even with automation in D365, PO posting can fail due to data errors, setup gaps, or workflow issues. Understanding common causes and applying structured troubleshooting helps maintain transaction integrity and financial accuracy.

Issues



1. Quantity or price mismatches between PO, goods receipt, and invoice.
2. Missing or incorrect vendor or posting profile setup
3. Approval workflow blocks
4. Missing or incorrect account structures or posting parameters
5. Duplicate or partial invoice postings

Troubleshoots



1. Reconcile PO, receipt, and invoice details; correct errors or resolve with vendor before re-posting.
2. Validate vendor master data, posting profiles, and account mappings; update missing or incorrect configurations.
3. Check workflow status; follow up or escalate pending approvals.
4. Review account structures, dimensions, and parameters in setup; correct and reattempt posting.
5. Identify duplicates/partials, reverse or adjust incorrect postings, coordinate with vendor to clarify billing.

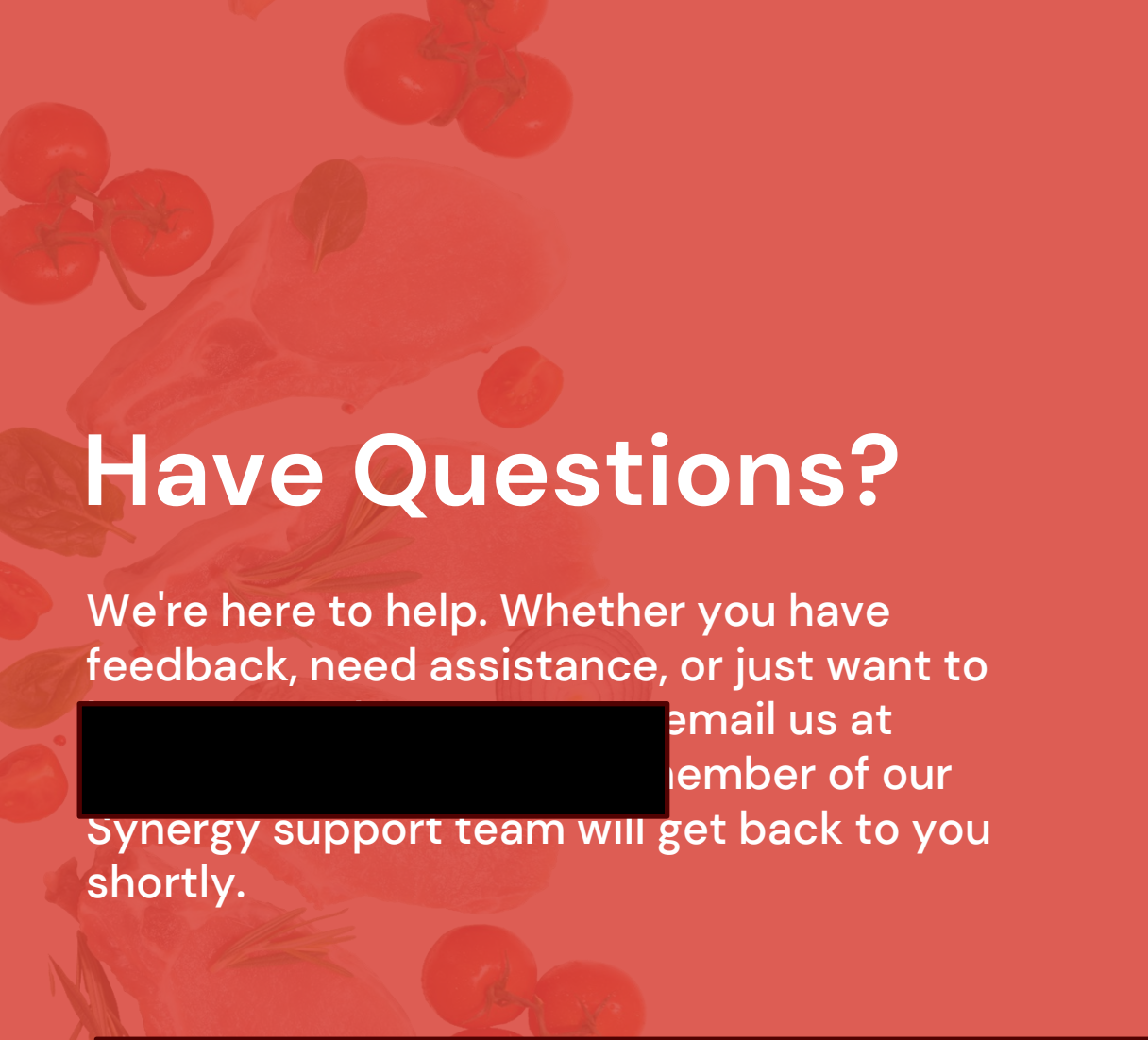
Summary



A vertical arrangement of raw meat and vegetables on the left side of the slide. It includes several pieces of raw meat, likely pork chops, garnished with fresh herbs like basil and rosemary. Interspersed among the meat are clusters of bright red cherry tomatoes and a single slice of red onion.

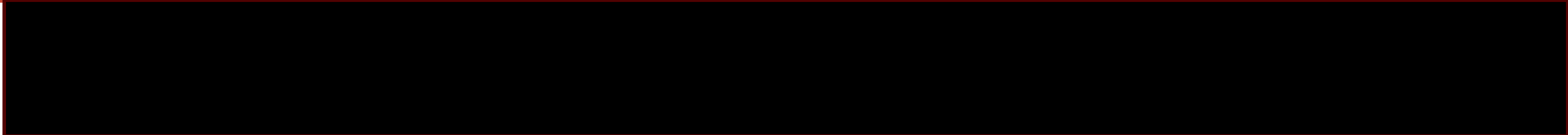
Course Summary

Let's recap what you learned in this course:



Have Questions?

We're here to help. Whether you have feedback, need assistance, or just want to email us at [REDACTED] a member of our Synergy support team will get back to you shortly.



Thank you!

We appreciate your time and participation in today's training session. Your engagement is key to our shared success!